LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

SIX MONTH PERIOD ENDED 30 SEPTEMBER 2014

Lanka Orix Leasing Company PLC
Interim Financial Statements
For the six month period ended 30 September 2014

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Lanka Orix Leasing Company PLC
Statement of financial position

Group	Company		Group		Company	
31-Mar-14	**31-Mar-14**	*As at*	**30-Sep-14**	**30-Sep-13**	**30-Sep-14**	**30-Sep-13**
Rs.' 000	**Rs.' 000**		**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Audited	**Audited**		**Un-audited**	**Un-audited**	**Un-audited**	**Un-audited**
		Assets				
5,173,496	94,205	Cash and cash equivalents	5,609,149	4,957,780	24,666	608,565
885,802	536,325	Trading assets - fair value through profit or loss	941,690	1,596,757	619,349	907,680
16,172,946	382,733	Investment securities	18,492,978	15,080,318	681,547	250,558
36,259,242	1,069	Finance lease receivables, hire purchases and operating leases	39,205,091	38,342,048	-	6,601
54,285,641	1,513,662	Advances and other loans	76,505,762	54,155,015	1,352,186	1,958,709
449,589	-	Insurance premium receivables	521,099	471,070	-	-
1,868,626	44,435	Inventories	1,308,076	2,423,339	35,214	45,388
1,103,421	186,559	Current tax assets	143,761	112,663	17,437	-
6,359,820	2,826,612	Trade and other current assets	8,466,011	8,638,516	7,947,808	10,098,943
51,088	-	Prepaid lease rentals on leasehold properties	49,507	52,708	-	-
6,655,490	331,500	Investment properties	7,156,550	6,301,168	331,500	273,467
-	-	Real estate stocks	-	2,598	-	-
		Investments in group companies;				
-	32,624,979	Subsidiary companies	-	-	32,892,909	29,832,790
6,402,896	14,298	Joint venture companies	6,341,700	6,440,496	14,298	14,298
13,472,318	7,009,249	Equity accounted investees - Associates	14,270,847	11,071,510	7,535,124	7,134,319
313,171	-	Deferred tax assets	411,640	491,071	81,272	65,178
722,549	142,276	Intangible assets	2,232,138	795,377	127,570	160,185
21,510,363	3,546,245	Property, plant and equipment	22,659,000	19,120,466	3,562,567	2,983,783
171,686,458	**49,254,147**	**Total assets**	**204,314,999**	**170,052,900**	**55,223,447**	**54,340,464**
		Liabilities and equity				
		Liabilities				
2,819,302	399,689	Bank overdrafts	4,170,690	4,933,951	2,073,847	1,452,359
405,434	6,443	Trading liabilities - fair value through profit or loss	420,921	37,286	-	-
49,614,880	-	Deposits liabilities	52,764,722	41,772,641	-	-
65,548,888	13,853,920	Interest bearing borrowings	84,337,060	70,340,075	17,999,892	19,558,770
271,792	-	Insurance provision - life	347,402	152,570	-	-
1,248,685	-	Insurance provision - general	1,317,144	1,054,076	-	-
1,058,725	179,186	Current tax payables	1,133,930	992,241	-	1,380
3,277,069	529,238	Trade and other payables	6,927,691	5,393,923	414,878	607,353
2,220,836	7,282	Deferred tax liabilities	2,318,146	1,684,281	88,554	-
11,388	-	Deferred income	31,278	39,296	-	-
355,197	149,112	Retirement benefit obligations	381,157	306,996	152,802	97,767
126,832,196	**15,124,870**	**Total liabilities**	**154,150,141**	**126,707,336**	**20,729,973**	**21,717,629**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
5,357,905	1,509,262	Reserves	5,791,651	1,839,070	1,807,288	630,656
17,069,012	32,144,815	Retained earnings	19,469,013	18,905,487	32,210,986	31,516,979
22,902,117	**34,129,277**	**Equity attributable to shareholders of the Company**	**25,735,864**	**21,219,757**	**34,493,474**	**32,622,835**
21,952,145	**-**	**Non-controlling interests**	**24,428,994**	**22,125,807**	**-**	**-**
44,854,262	**34,129,277**	**Total equity**	**50,164,858**	**43,345,564**	**34,493,474**	**32,622,835**
171,686,458	**49,254,147**	**Total liabilities & equity**	**204,314,999**	**170,052,900**	**55,223,447**	**54,340,464**
48.19	**71.82**	**Net assets per share (Rs.)**	**54.16**	**44.65**	**72.59**	**68.65**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mrs. R.L. Nanayakkara
Chairperson
11th November 2014, Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

Lanka Orix Leasing Company PLC
Income Statement

	Group					Company				
	Three Months Ended		Six Months Ended			Three Months Ended		Six Months Ended		
	30-Sep-14 Rs.' 000	30-Sep-13 Rs.' 000	30-Sep-14 Rs.' 000	30-Sep-13 Rs.' 000	Variance %	30-Sep-14 Rs.' 000	30-Sep-13 Rs.' 000	30-Sep-14 Rs.' 000	30-Sep-13 Rs.' 000	Variance %
Gross income	**11,153,430**	**10,227,149**	**20,550,884**	**20,497,563**	**0**	**655,176**	**836,110**	**1,231,424**	**1,791,874**	**(31)**
Revenue	2,537,153	3,525,687	4,805,531	6,445,329	(25)	-	-	-	-	-
Less: cost of sales	(1,743,317)	(2,139,405)	(3,390,481)	(4,351,639)	(22)	-	-	-	-	-
Gross profit	**793,836**	**1,386,282**	**1,415,050**	**2,093,690**	**(32)**	**-**	**-**	**-**	**-**	**-**
Income	7,701,282	6,050,513	14,501,718	12,392,821	17	267,123	616,579	474,779	1,154,821	(59)
Other income/(expenses)	914,995	650,949	1,243,635	1,659,413	(25)	388,053	219,531	756,645	637,053	19
Net finance costs	(3,373,350)	(3,986,232)	(6,739,097)	(8,200,193)	(18)	(404,713)	(636,996)	(801,965)	(1,437,812)	(44)
Profit before operating expenses	**6,036,763**	**4,101,512**	**10,421,306**	**7,945,731**	**31**	**250,463**	**199,114**	**429,459**	**354,062**	**21**
Operating expenses										
Direct expenses excluding finance costs	(1,122,387)	(955,273)	(2,058,184)	(1,758,789)	17	(4,440)	(28,840)	(10,555)	(57,569)	(82)
Personnel costs	(1,082,877)	(807,504)	(1,977,850)	(1,502,659)	32	(25,692)	(25,407)	(51,274)	(54,485)	(6)
Net impairment (loss) / reversal on financial assets	(186,796)	(541,711)	(1,065,612)	(1,368,970)	(22)	(1,065)	38,351	(3,740)	49,681	(108)
Depreciation and amortization	(212,275)	(171,457)	(446,792)	(374,593)	19	(83,389)	(78,682)	(162,228)	(151,344)	7
Other operating expenses	(1,703,835)	(1,363,331)	(2,213,766)	(1,922,960)	15	(114,104)	(80,758)	(135,491)	(101,887)	33
Results from operating activities	**1,728,593**	**262,236**	**2,659,102**	**1,017,760**	**161**	**21,773**	**23,778**	**66,171**	**38,458**	**72**
Share of profits of equity accounted investees	625,380	422,582	1,048,699	551,145	90	-	-	-	-	-
Gains on bargain purchases (negative goodwill)	-	82,345	-	132,688	(100)	-	-	-	-	-
Profit before income tax expense	**2,353,973**	**767,163**	**3,707,801**	**1,701,593**	**118**	**21,773**	**23,778**	**66,171**	**38,458**	**72**
Income tax expense	(560,909)	(428,247)	(902,263)	(668,739)	35	-	-	-	-	-
Profit for the period	**1,793,064**	**338,916**	**2,805,538**	**1,032,854**	**172**	**21,773**	**23,778**	**66,171**	**38,458**	**72**
Profit attributable to;										
Equity holders of the Company	1,585,909	436,438	2,512,369	588,894		21,773	23,778	66,171	38,458	
Non-controlling interests	207,155	(97,522)	293,169	443,960		-	-	-	-	
	1,793,064	**338,916**	**2,805,538**	**1,032,854**		**21,773**	**23,778**	**66,171**	**38,458**	
Basic earnings per share	**3.34**	**0.92**	**5.29**	**1.24**						

Figures in brackets indicate deductions.

Statement of Other Comprehensive Income

	Group				Company			
	Three Months Ended		Six Months Ended		Three Months Ended		Six Months Ended	
	30-Sep-14 Rs.' 000	30-Sep-13 Rs.' 000	30-Sep-14 Rs.' 000	30-Sep-13 Rs.' 000	30-Sep-14 Rs.' 000	30-Sep-13 Rs.' 000	30-Sep-14 Rs.' 000	30-Sep-13 Rs.' 000
Profit for the period	**1,793,064**	**338,916**	**2,805,538**	**1,032,854**	**21,773**	**23,778**	**66,171**	**38,458**
Other comprehensive income								
Net change in fair value of available-for-sale financial assets	328,737	(369,729)	436,834	(1,358,216)	298,026	(113,538)	298,026	(115,480)
Net movement of cash flow hedges	(26,873)	(121,849)	(153,805)	(129,090)	(24,269)	-	-	-
Effect on translation differences for foreign operations	4,492	882	3,666	882	-	(24,666)	-	(21,816)
Other comprehensive income/ (expense) for the year, net of tax	**306,356**	**(490,696)**	**286,695**	**(1,486,424)**	**273,757**	**(138,204)**	**298,026**	**(137,296)**
Total comprehensive income / (expense) for the period	**2,099,420**	**(151,780)**	**3,092,233**	**(453,570)**	**295,530**	**(114,426)**	**364,197**	**(98,838)**
Total comprehensive income / (expense) attributable to;								
Equity holders of the Company	1,977,149	252,809	2,869,463	115,907	295,530	(114,426)	364,197	(98,838)
Non-controlling interests	122,271	(404,589)	222,770	(569,477)	-	-	-	-
Total comprehensive income / (expense) for the period	**2,099,420**	**(151,780)**	**3,092,233**	**(453,570)**	**295,530**	**(114,426)**	**364,197**	**(98,838)**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the six month period ended 30 September 2014

Company	Equity attibutable to the shareholders of the Company							
	Stated Capital Rs.' 000	Revaluation Reserve Rs.' 000	Cash flow hedge Reserve Rs.' 000	Fair Value Reserve on AFS Rs.' 000	Future Taxation Reserve Rs.' 000	Statutory Reserve Fund Rs.' 000	Retained Earnings Rs.' 000	Total Rs.' 000
Balance as at 01 April 2013	**475,200**	**600,887**	**25,962**	**(63,897)**	**205,000**	**-**	**31,477,436**	**32,720,588**
Total comprehensive income for the period								
Profit for the period	-	-	-	-	-	-	38,458	**38,458**
Other comprehensive income								
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	(115,480)	-	-	-	**(115,480)**
Statement of Changes in Equity	-	-	(21,816)	-	-	-	-	**(21,816)**
Total comprehensive income for the period	-	-	(21,816)	(115,480)	-	-	38,458	**(98,838)**
Dividend forfeited	-	-	-	-	-	-	1,085	**1,085**
Balance as at 30 September 2013	**475,200**	**600,887**	**4,146**	**(179,377)**	**205,000**	**-**	**31,516,979**	**32,622,835**
Balance as at 01 April 2014	**475,200**	**1,300,116**	**4,146**	**-**	**205,000**	**-**	**32,144,815**	**34,129,277**
Total comprehensive income for the period								
Profit for the period	-	-	-	-	-	-	66,171	**66,171**
Other comprehensive income								
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	298,026	-	-	-	**298,026**
Statement of Changes in Equity	-	-		-	-	-	-	**-**
Total comprehensive income for the period	**-**	**-**	**-**	**298,026**	**-**	**-**	**66,171**	**364,197**
Dividend forfeited	-	-	-	-	-	-		**-**
Balance as at 30 September 2014	**475,200**	**1,300,116**	**4,146**	**298,026**	**205,000**	**-**	**32,210,986**	**34,493,474**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the six month period ended 30 September 2014

Group	Equity Attributable to the Owners of the Company										Non-controlling Interests	Total Equity
	Stated Capital	Revaluation Reserve	Cash flow hedge Reserve	Fair Value Reserve on AFS	Translation Reserve	Future Taxation Reserve	Statutory Reserve Fund	Investment Fund	Retained Earnings	Total		
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Balance as at 01 April 2013	**475,200**	**1,047,927**	**48,355**	**(694,007)**	**118,771**	**205,000**	**1,035,297**	**507,435**	**18,144,262**	**20,888,240**	**22,484,518**	**43,372,758**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	588,894	**588,894**	443,960	**1,032,854**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	(345,597)	-	-	-	-	-	**(345,597)**	(1,012,619)	**(1,358,216)**
Effect on translation differences for foreign operations	-	-		-	882	-	-	-	-	**882**	-	**882**
Net movement of cash flow hedges	-	-	(128,272)	-	-	-	-	-	-	**(128,272)**	(818)	**(129,090)**
Total comprehensive income for the period	**-**	**-**	**(128,272)**	**(345,597)**	**882**	**-**	**-**	**-**	**588,894**	**115,907**	**(569,477)**	**(453,570)**
Dividends paid during the period	-	-	-	-	-	-	-	-	-	**-**	(49,158)	**(49,158)**
Dividends forfeited	-	-	-	-	-	-	-	-	1,085	**1,085**	-	**1,085**
Adjustments due to changes in group holdings and other consolidation adjustments	-		-	-	-	-	-	-	(2,044)	**(2,044)**	485,451	**483,407**
Acquisition of non-controlling interests	-	-	-	-	-	-	-		216,494	**216,494**	(225,574)	**(9,080)**
Depreciation transfer on revaluation	-	(479)	-	-	-	-	-	-	479	**-**	-	**-**
Transfers to statutory reserve fund	-	-	-	-	-	-	29,607	-	(29,607)	**-**	-	**-**
Transfers to investment fund	-	-	-	-	-	-	-	14,076	(14,076)	**-**	-	**-**
Deferred tax reversal	-	75	-	-	-	-	-	-	-	**75**	47	**122**
Balance as at 30 September 2013	**475,200**	**1,047,523**	**(79,917)**	**(1,039,604)**	**119,653**	**205,000**	**1,064,904**	**521,511**	**18,905,487**	**21,219,757**	**22,125,807**	**43,345,564**
Balance as at 01 April 2014	**475,200**	**2,752,543**	**28,394**	**167,018**	**161,493**	**205,000**	**1,290,782**	**752,675**	**17,069,012**	**22,902,117**	**21,952,145**	**44,854,262**
Total comprehensive income for the period												
Profit for the period	-	-	-	-	-	-	-	-	2,512,369	**2,512,369**	293,169	**2,805,538**
Other comprehensive income												
Net change in fair value of available-for-sale financial assets	-	-	-	482,896	-	-	-	-	-	**482,896**	(46,062)	**436,834**
Net movement of cash flow hedges	-	-	(127,460)	-	-	-	-	-	-	**(127,460)**	(26,345)	**(153,805)**
Effect on translation differences for foreign operations	-	-	-	-	1,658	-	-	-	-	**1,658**	2,008	**3,666**
Total comprehensive income for the period	**-**	**-**	**(127,460)**	**482,896**	**1,658**	**-**	**-**	**-**	**2,512,369**	**2,869,463**	**222,770**	**3,092,233**
Dividends paid during the period	-	-	-	-	-	-	-	-	-	**-**	(72,299)	**(72,299)**
Acquisition of non-controlling interests	-	-	-	-	-	-	-	-	-	**-**	1,319,932	**1,319,932**
Adjustments due to changes in group holdings and other consolidation adjustments	-	-	-	-	-	-	-	-	(30,866)	**(30,866)**	(8,675)	**(39,541)**
Depreciation transfer on revaluation	-	(1,182)	-	-	-	-	-	-	1,182	**-**	-	**-**
Share issue of subsidiaries	-	-	-	-	-	-	-	-	-	**-**	1,026,715	**1,026,715**
Share issue expenses	-	-	-	-	-	-	-	-	(4,850)	**(4,850)**	(11,594)	**(16,444)**
Transfers to investment fund	-	-	-	-	-	-	-	77,834	(77,834)	**-**	-	**-**
Balance as at 30 September 2014	**475,200**	**2,751,361**	**(99,066)**	**649,914**	**163,151**	**205,000**	**1,290,782**	**830,509**	**19,469,013**	**25,735,864**	**24,428,994**	**50,164,858**

Figures in brackets indicate deductions.

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the six months ended 30 September	Group		Company	
	2014	**2013**	**2014**	**2013**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	3,707,801	1,701,593	66,171	38,458
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(16,037)	(22,910)	(12,639)	(22,032)
Depreciation and amortization	446,792	374,593	162,228	151,344
Insurance provision	144,069	162,457	-	926
Change in fair value of forward contracts	107,275	(18,135)	-	-
Provision for gratuity	26,448	40,963	3,690	-
Net impairment (loss) / reversal on financial assets	1,065,612	1,368,970	3,740	(49,681)
Provision for fall/(increase) in value of investments	(236,420)	67,284	(176,246)	18,660
Investment Income	(30,113)	(34,103)	(8,533)	(67,501)
Net finance costs	6,739,097	8,200,193	801,965	1,437,812
Interest income	(846,439)	(471,019)	(975)	(934)
(Profit)/loss on sale of quoted and non-quoted shares	(107,986)	(1,037,060)	49,404	3,218
Share of profits of equity accounted investees	(1,048,699)	(551,145)	-	-
Gains on bargain purchases (negative goodwill)	-	(132,688)	-	-
Fair value gain on previously held interest in BRAC	(15,589)	-	-	-
Operating profit before working capital changes	**9,935,811**	**9,648,993**	**888,805**	**1,510,270**
Working capital changes				
Increase/(decrease) in trade and other payables	1,298,406	(228,328)	(23,220)	(209,774)
(Increase)/decrease in investment in leases, hire purchase and others	(3,743,207)	(709,082)	-	43,751
(Increase)/decrease in investment in advances and other loans	(7,906,061)	(5,342,265)	157,737	768,040
(Increase)/decrease in premium receivables	(71,510)	(167,639)	-	-
(Increase)/decrease in inventories	560,550	50,624	9,221	(45,388)
(Increase)/decrease in trade and other receivables	(1,693,391)	(1,938,040)	(5,121,192)	(1,608,788)
(Increase)/decrease in customer deposits	3,033,069	7,494,935	-	-
Cash generated from operations	**1,413,667**	**8,809,198**	**(4,088,649)**	**458,111**
Finance cost paid	(6,280,810)	(7,384,264)	(976,571)	(1,504,614)
Income tax and Economic Service Charge paid	(648,591)	(497,262)	(666)	(87,363)
Defined benefit plan costs paid	(7,699)	(8,197)	(3,400)	-
Net cash from/(used in) operating activities	**(5,523,433)**	**919,475**	**(5,069,286)**	**(1,133,866)**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(267,930)	(36,465)
Net cash and cash equivalents on acquisition of subsidiary	(1,652,048)	(505,281)	-	-
Investment in equity accounted investees	(93,429)	(450,934)	(525,874)	(387,530)
Acquisition of non-controlling interests	-	(259,212)	-	-
Acquisition of property, plant and equipment	(1,110,558)	(1,275,106)	(131,679)	(80,445)
Acquisition / (Disposal) of intangible assets	(4,417)	(66,804)	-	(64,752)
Net additions to trading assets	(46,890)	(666,898)	(787)	627
Net additions to investment securities	(909,756)	(2,585,053)	43,030	(84,546)
Proceeds from the sale of property, plant and equipment	37,457	22,910	16,813	25,910
Interest received	846,439	471,019	975	934
Dividend received	30,113	169,269	8,533	67,501
Net cash flow from investing activities	**(2,903,089)**	**(5,146,090)**	**(856,919)**	**(558,766)**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term interest bearing loans and borrowings	4,120,221	4,436,147	4,924,442	2,374,714
Proceeds from long-term interest bearing loans and borrowings	5,401,668	4,144,503	(47,708)	558,212
Repayments of long-term interest bearing loans and borrowings	(2,949,074)	(3,909,273)	(694,226)	(1,439,400)
Dividends paid to non-controlling interests	(72,299)	(49,158)	-	-
Share issue of subsidiairies	1,026,715	-	-	-
Share issue expenses	(16,444)	-	-	-
Net cash generated from financing activities	**7,510,787**	**4,622,219**	**4,182,508**	**1,493,526**
Net increase/(decrease) in cash and cash equivalents during the year	(915,735)	395,604	(1,743,697)	(199,106)
Cash and cash equivalents at the beginning of the year	2,354,194	(371,775)	(305,484)	(644,688)
Cash and cash equivalents at the end of the year	**1,438,459**	**23,829**	**(2,049,181)**	**(843,794)**
Analysis of cash and cash equivalents at the end of the year				
Cash in Hand and Favorable Bank Balances	5,609,149	4,957,780	24,666	608,565
Unfavorable Bank Balances used for cash management purposes	(4,170,690)	(4,933,951)	(2,073,847)	(1,452,359)
	1,438,459	**23,829**	**(2,049,181)**	**(843,794)**

1 The Statement of Financial Position as at 30 September 2014, Income Statement, Statement of Other Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the six months ended thereof are drawn up from unaudited accounts of the Company, its subsidiaries, equity accounted investees (associates) and joint ventures and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies and methods of computation as stated in the Financial Statements for 2013/14 are followed in the preparation of these Interim Financial Statements.

3 Revenue includes revenue from trading, manufacturing, plantation and other activities of the Group.

4 Income represents the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2014.

8 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements.

9 Acquisition of Subsidiaries

9.1 During the six months period ended 30 September 2014, LOLC Group acquired the following subsidiaries;

Subsidiary	Controlling interest acquired	Consideration paid	Fair value of the previously held interest	Fair value of the total consideration
	%	*Rs. Mn*	*Rs. Mn*	*Rs. Mn*
Thaneakea Phum Cambodia Ltd - TPC	60.00%	2,645.52	-	**2,645.52**
BRAC Lanka Finance PLC - BRAC	93.82%	603.17	359.19	**962.36**
Sun & Fun Resorts (Private) Limited - S&F	51.00%	205.00	50.00	**255.00**
Ceylon Roots (Private) Limited - CRL	60.00%	48.00	-	**48.00**
		3,501.69	**409.19**	**3,910.88**

9.2 The provisional fair values of the identifiable assets and liabilities of acquirees (based on un-audited financial statements) as at the date of acquisition were;

	TPC	BRAC	S&F	CRL
	Rs. Mn	*Rs. Mn*	*Rs. Mn*	*Rs. Mn*
Assets				
Cash and cash equivalents	1,928.24	-	15.70	0.34
Investment securities	1.95	931.67	-	-
Trade and other current assets	145.42	26.60	172.49	48.00
Loans and receivables	12,942.19	1,640.13	-	-
Property, plant and equipment	154.28	356.07	497.57	0.81
	15,172.08	**2,954.47**	**685.75**	**49.15**
Liabilities				
Bank overdrafts	-	89.18	-	-
Trade and other payables	481.31	587.49	48.78	47.99
Deposits and borrowings	11,945.06	1,678.77	250.00	-
	12,426.38	**2,355.44**	**298.78**	**47.99**
Equity				
Stated capital	744.69	171.18	411.55	1.50
Reserves	99.07	192.01	-	-
Retained earnings	1,901.95	235.74	(24.58)	(0.34)
	2,745.71	**598.93**	**386.97**	**1.16**

9.3 Goodwill recognized as a result of the acquisitions are as follows;

	TPC	BRAC	S&F	CRL
	Rs. Mn	*Rs. Mn*	*Rs. Mn*	*Rs. Mn*
Fair value of consideration paid	2,645.52	962.36	255.00	48.00
Non-controlling interests acquired	1,098.27	37.04	189.62	0.46
	3,743.79	**999.40**	**444.62**	**48.46**
Fair value of Identifiable net assets acquired	2,745.71	598.93	386.97	1.16
Resulting goodwill	**998.08**	**400.47**	**57.64**	**47.31**

10 Market prices of ordinary shares recorded during the quarter ended 30th September 2014 are as follows;

	Rs.
Closing price	85.40
Highest Price	95.80
Lowest Price	84.10

11 Information on Company's listed debentures

- Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds at the auction held on 26 September 2014

	4 Year Bond		5 Year Bond	
			Price	Yield
Buying	102.87	6.65	115.85	6.79
Selling	103.25	6.54	116.31	6.69

Market prices and yield during the year (ex interest)	Price	Yield
4 Year Bond	103.49	6.69
5 Year Bond	110.41	6.87

Debt to equity	0.60	times
Interest cover	1.08	times

12 Adoption of SLFRS 11 - Joint Arrangements in 2014/15 - Free Lanka Group

SLFRS 11 Joint Arrangements, which replaces LKAS 31 - Interests in Joint Ventures and SIC-13 Jointly Controlled Entities - Non-Monetary Contributions by Ventures. SLFRS 11 also amends LKAS 28 Investments in Associates.

The main changes from LKAS 31 to SLFRS 11

There was an option given by ICASL, for jointly controlled entities, between proportionate consolidation and the equity method. The new standard is on the basis that proportionate consolidation is not appropriate in the absence of rights/obligations directly to/for the underlying assets/obligations of the arrangement.

Based on the new standard, accounting for joint ventures should be changed from proportionate consolidation which was allowed in LKAS 31 to equity accounting.

Current method applied at LOLC Group

From the point of acquisition, LOLC accounted for Free Lanka Group using proportionate consolidation as allows by LKAS 31. Proportionate consolidation allowed to account the proportion of assets, liabilities, income and expense of the joint venture in the investor's financial statements.

New treatment

As per the SLFRS 11, the method of accounting should be changed to equity method where only the net assets movement of Joint venture are recorded in the investor's financial statements. The change in accounting method will affect the respective line items of the statement of financial position (balance sheet) and the statement of comprehensive income (profit or loss).

In the statement of financial position, the respective assets and liabilities of the joint ventures are eliminated from the consolidated numbers and clustered though equity accounted investees where there will be no impact on the net assets of the consolidated financial statements. In the profit or loss, income and expenses of joint ventures are eliminated from the consolidations and the net profit of the joint venture will be accounted as the share of profit of equity accounted investees.

The full effect of the change in current method of accounting using proportionate consolidation and future equity method of accounting as follows;

	Group		
	As at 30 Sep 2013		
Statement of Financial Position	**Previously reported Rs.' 000**	**SLFRS 11 Adjustment Rs.' 000**	**Reinstated Rs.' 000**
Assets			
Cash in hand and favorable bank balances	5,074,361	(116,581)	4,957,780
Trading assets - fair value through profit or loss	1,607,309	(10,552)	1,596,757
Investment securities	15,437,920	(357,602)	15,080,318
Finance lease receivables, hire purchases and operating leases	38,342,048	-	38,342,048
Advances and other loans	54,155,015	-	54,155,015
Insurance premium receivables	471,070	-	471,070
Inventories	2,737,645	(314,306)	2,423,339
Current tax assets	112,785	(122)	112,663
Trade and other current assets	9,448,898	(810,382)	8,638,516
Prepaid lease rentals on leasehold properties	293,061	(240,353)	52,708
Investment properties	6,437,168	(136,000)	6,301,168
Real estate stocks	2,598	-	2,598
Biological assets;			
Consumer biological assets	2,867,173	(2,867,173)	-
Bearer biological assets	3,742,831	(3,742,831)	-
Investments in group of companies;			
Subsidiary companies	-	-	-
Joint venture companies	-	6,440,496	6,440,496
Equity accounted investees - Associates	11,071,510	-	11,071,510
Deferred tax assets	491,560	(489)	491,071
Intangible assets	812,200	(16,823)	795,377
Property, plant and equipment	20,414,397	(1,293,931)	19,120,466
Total assets	**173,519,549**	**(3,466,649)**	**170,052,900**
Liabilities and equity			
Liabilities			
Bank overdrafts	5,080,581	(146,630)	4,933,951
Trading liabilities - fair value through profit or loss	37,286	-	37,286
Deposits liabilities	41,772,641	-	41,772,641
Interest bearing borrowings	70,905,330	(565,255)	70,340,075
Insurance provision - life	152,570	-	152,570
Insurance provision - general	1,054,076	-	1,054,076
Current tax payables	1,000,784	(8,543)	992,241
Trade and other payables	6,658,706	(1,264,783)	5,393,923
Deferred tax liabilities	2,136,233	(451,952)	1,684,281
Deferred income	300,912	(261,616)	39,296
Retirement benefit obligations	1,074,866	(767,870)	306,996
Total liabilities	**130,173,985**	**(3,466,649)**	**126,707,336**
Equity			
Stated capital	475,200	-	475,200
Reserves	1,839,070	-	1,839,070
Retained earnings	18,905,487	-	18,905,487
Equity attributable to shareholders of the Company	**21,219,757**	**-**	**21,219,757**
Non-controlling interests	22,125,807	-	22,125,807
Total equity	**43,345,564**	**-**	**43,345,564**
Total liabilities & equity	**173,519,549**	**(3,466,649)**	**170,052,900**

	Group		
	Six month ended 30 Sep 2014		
Statement of Comprehensive Income	**Previously reported Rs.' 000**	**SLFRS 11 Adjustment Rs.' 000**	**Reinstated Rs.' 000**
Gross income	**22,149,067**	**(1,651,504)**	**20,497,563**
Revenue	8,077,004	(1,631,675)	6,445,329
Less: cost of sales	(5,255,585)	903,946	(4,351,639)
Gross profit	**2,821,419**	**(727,729)**	**2,093,690**
Income	12,420,729	(27,908)	12,392,821
Other income/(expenses)	1,651,334	8,079	1,659,413
Finance costs	(8,255,516)	55,323	(8,200,193)
Profit before operating expenses	**8,637,966**	**(692,235)**	**7,945,731**
Operating expenses			
Direct expenses excluding finance costs	(1,763,716)	4,927	(1,758,789)
Personnel costs	(2,070,334)	567,675	(1,502,659)
Net impairment loss on financial assets	(1,368,970)	-	(1,368,970)
Depreciation and amortization	(425,704)	51,111	(374,593)
Other operating expenses	(2,011,437)	88,477	(1,922,960)
Results from operating activities	**997,805**	**19,955**	**1,017,760**
Share of profits of equity accounted investees	579,027	(27,882)	551,145
Gains on bargain purchases (negative goodwill)	132,688	-	132,688
Profit before income tax expense	**1,709,520**	**(7,927)**	**1,701,593**
Income tax expense	(676,666)	7,927	(668,739)
Profit for the year	**1,032,854**	**-**	**1,032,854**

Lanka Orix Leasing Company PLC
Segmental Information

For the six month period ended 30 September 2014	Financial Services	Insurance	Trading	Leisure	Others/ (adjustments)	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Gross income	15,158,636	1,345,961	5,041,431	472,894	(1,468,038)	**20,550,884**
Cost of sales	-	-	(3,310,110)	(94,726)	14,355	**(3,390,481)**
Net finance costs	(6,240,305)	-	(327,574)	(257,507)	86,289	**(6,739,097)**
Profit before operating expenses	**8,918,331**	**1,345,961**	**1,403,747**	**120,661**	**(1,367,394)**	**10,421,306**
Operating expenses	(5,902,687)	(1,280,233)	(962,880)	(431,101)	814,697	**(7,762,204)**
Results from operating activities	**3,015,644**	**65,728**	**440,867**	**(310,440)**	**(552,697)**	**2,659,102**
Share of profits of equity accounted investees	-	-	-	-	1,048,699	**1,048,699**
Gains on bargain purchases (negative goodwill)	-	-	-	-	-	**-**
Profit before taxation	**3,015,644**	**65,728**	**440,867**	**(310,440)**	**496,002**	**3,707,801**
For the six month period ended 30 September 2013						
Gross income	14,325,802	836,396	7,448,194	418,151	(2,530,980)	20,497,563
Cost of sales	-	-	(4,195,724)	(70,311)	(85,604)	(4,351,639)
Net finance costs	(7,808,830)	-	(707,306)	(140,188)	456,131	(8,200,193)
Profit before operating expenses	6,516,972	836,396	2,545,164	207,652	(2,160,453)	7,945,731
Operating expenses	(4,676,731)	(754,470)	(1,562,710)	(464,983)	530,923	(6,927,971)
Results from operating activities	1,840,241	81,926	982,454	(257,331)	(1,629,530)	1,017,760
Share of profits of equity accounted investees	-	-	-	-	551,145	551,145
Gains on bargain purchases (negative goodwill)	-	-	-	-	132,688	132,688
Profit before taxation	1,840,241	81,926	982,454	(257,331)	(945,697)	1,701,593

For the six month period ended 30 September 2014	Financial Services	Insurance	Trading	Leisure	Others/ (adjustments)	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net impairment (loss) / reversal on financial assets	1,065,612	-	-	-	-	**1,065,612**
Depreciation and amortization	216,723	26,347	68,346	97,997	37,379	**446,792**
Total assets (as at 30 September 2014)	181,777,099	3,181,812	21,437,306	16,293,755	(18,374,973)	**204,314,999**
Total liabilities (as at 30 September 2014)	143,708,794	2,032,663	10,549,194	7,106,907	(9,247,417)	**154,150,141**
For the six month period ended 30 September 2013						
Net impairment (loss) / reversal on financial assets	1,368,970	-	-	-	-	**1,368,970**
Depreciation and amortization	169,847	8,009	63,823	87,594	45,320	**374,593**
Total assets (as at 30 September 2013)	148,571,793	2,106,586	21,324,341	17,063,500	(19,013,320)	**170,052,900**
Total liabilities (as at 30 September 2013)	118,318,125	1,460,548	10,893,486	3,191,747	(7,156,571)	**126,707,336**

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 30 September 2014

Directors Name	No of shares	%
Mrs. R L Nanayakkara *Chairperson*	-	-
Mr. I C Nanayakkara *Deputy Chairman (Also Alternate Director to Mr R.L Nananayakkara)*	59,895,500	12.604
Deshamanya M D D Peiris	-	-
Mr. R A Fernando	12,600	0.003
Mrs. K U Amarasinghe	23,760,000	5.000
Mr. R M Nanayakkara	172,492,292	36.299
Mr. W D K Jayawardena *Managing Director / Group CEO*	-	-
Mr. H Yamaguchi	-	-
Mr. Y Nishio	-	-
Mr. S Yamana (Alternate Director to Mr. H Yamaguchi)	-	-
Ms. K Mori (Alternate Director to Mr. Y Nishio)	-	-

Top 20 shareholders as at 30 September 2014

	Shareholder	No. of Shares	% of Issued Capital
1	Mr. R M Nanayakkara	172,492,292	36.299
2	Orix Corporation	142,560,000	30.000
3	Mr. I C Nanayakkara	59,895,500	12.604
4	Mrs. K U Amarasinghe	23,760,000	5.000
5	Employees Provident Fund	15,182,259	3.195
6	HSBC Intl Nom Ltd - BBH - Mathews International Funds	12,121,473	2.551
7	HSBC Intl Nom Ltd - State Street Luxembourg C/O SSBT-ABN	6,937,775	1.460
8	Dr. R R De Silva	4,710,791	0.991
9	Employees Trust Fund Board	3,407,737	0.717
10	Mrs. I Nanayakkara	2,827,948	0.595
11	Bank of Ceylon - No 2 Account	1,546,000	0.325
12	Mr. M Radhakrishnan	1,500,000	0.316
13	HSBC - Mr. R C De Silva	1,150,000	0.242
14	Mr. G G Ponnambalam	1,044,960	0.220
15	Dr. M Ponnambalam	1,044,960	0.220
16	Swasthika Mills LTD	1,006,800	0.212
17	Mr. R C De Silva	1,000,000	0.210
18	Mrs. S N Fernando	818,440	0.172
19	Mr. S Nadesan	660,000	0.139
20	National Savings Bank	606,900	0.128
		454,273,835	**95.596**

The Public Shareholding as at 30 September 2014 was 15.50% comprising of 3,182 shareholders.